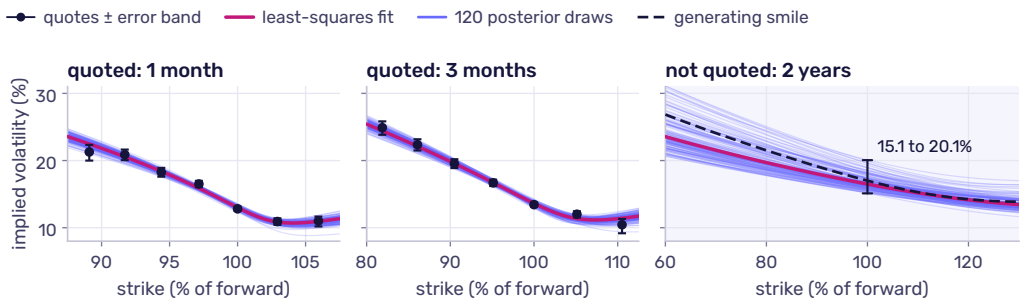

quotes ± error band
least-squares fit
120 posterior draws
generating smile
quoted: 1 month
quoted: 3 months
not quoted: 2 years
implied volatility (%)
30
20
10
90
95
100
105
80
90
100
110
60
80
100
120
strike (% of forward)
strike (% of forward)
strike (% of forward)
15.1 to 20.1%